

Problems

ARR method

1. A firm is considering two Projects. Each with Initial Investment of ~~Rs.~~ ₹ 20,000. And a life of four Years. The following is the list of Estimated Cash Inflows After Taxes for Three proposals

Year	Proposal - I	Proposal - II	Proposal - III
1	12500	11750	13500
2	12500	12250	12500
3	12500	12500	12250
4	12500	13500	11750
Total	50,000	50,000	50,000

Determine Accounting Rate Of Return on

a) Average Capital

b) Original Capital Employed

find out The Average Rate of Return from the following data Relating to Machines I And II.

COST	RS. 300,000 each
Estimated Life	3 year each
Estimated scrap	60,000 each
Income tax rate	50%
Additional working Capital Required	2,50,000 for each machine

The estimated cash inflows after taxes for each machine are as given below:

Year	Machine - I	Machine - II
1	1,50,000	2,00,000
2	3,00,000	3,00,000
3	1,50,000	2,50,000
4	—	1,50,000
Total	<u>6,00,000</u>	<u>9,00,000</u>